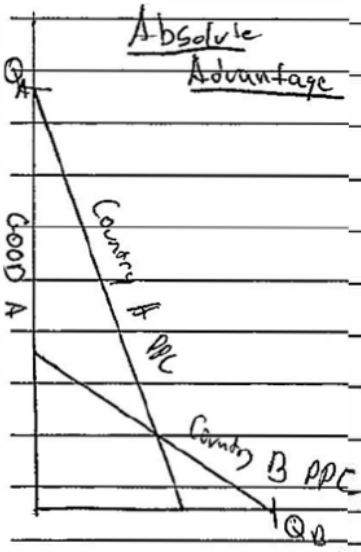
3

a) Countries often specialize and trade affording to the theory of comparative advantage. Explain the limitations of this approach. (10)

The theory of comparative advantage refers to a comparison model in which two countries' Production possibilities Curves are plotted, comparing two goods they may produce. Comparative advantage stems from absolute advantage, a model illustrating a scenario where two countries that trade internationally can produce the same two goods. In the case of absolute advantage, Country A can produce a greater volume of Good A than Country B and vice versa, where it is obvious that country A should specialize in Good A, and Country B in Good B. This way, the quantity produced of the Goods are at the highest, and the two countries trade can consume them satisfying demand. Absolute Advantage is illustrated in the diagram to the left.

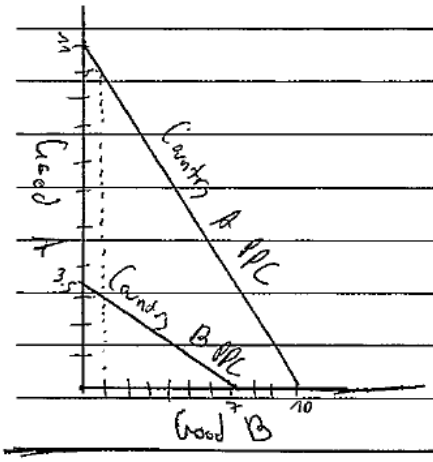


3 a) Continued

On the other hand, Comparative Advantage refers to when a single country can produce more of both goods than another. The theory of Comparative Advantage works with opportunity cost, stating that although Country A may be able to produce more of both products, Country B may have a lower opportunity cost for some goods.

On the diagram 'Comparative Advantage', although Country A's PPC shows that it can produce more in total than Country B, the cost of producing one unit of Good B is higher than the same opportunity cost of County B. In this case, it would be most efficient for the countries to specialize in the goods that have the lowest opportunity cost for them, this Good A for Country A and Good B for County B.

Comparative Advantage



The opportunity cost is given by the steepness of the PPCs.

In reality, Countries have differing PPCs due to natural resource endowments, for example. Hungary has better soil and weather than Iceland when considering Watermelon production, but Iceland has a much greater capacity for saltwater fishing than Hungary does.

Specialization towards only one product can be harmful for an economy, especially one producing primary commodities. Primary Commodities have volatile prices, and, due to the low Price Elasticity of Demand associated with them due to their necessity, countries could experience wild changes in the economy, instability and uncertainty. To not rely on one product, countries may want to remove all their eggs from one basket and diversify the economy, so that if one price changes, the country is not suddenly experiencing (illegible) problems.

Additionally, comparative advantage fails when two countries' PPCs

3 a) continued

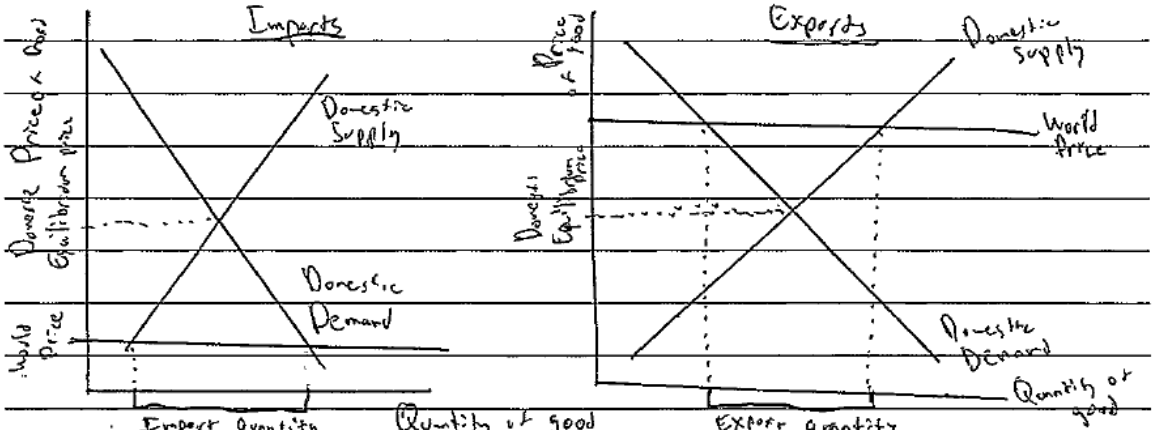
are parallel, thus neither has lower or higher opportunity cost for either product. In this case, countries may still want to trade the two products, regardless of opportunity cost, due to consumers demanding diversity.

b) Using real-world examples, discuss the advantages and disadvantages for a country of being a member of a trading bloc.

A Trading bloc is a group of countries who have agreed to decrease or eliminate barriers to trade between each other, typically on certain goods, to aid trade.

Advantages for a country include the advantages that free international trade give, For example, if a country can produce below the world price without trade barriers, and can cover domestic demand, it can export a good, bringing foreign currency to the country, and allowing for greater producer surplus. For domestic customers, imports are available, which may be cheaper, of better quality, or which may simply be different to the domestic goods, increasing consumer surplus. Domestic producers whose price cannot match the world price, or the price within the trading bloc, will suffer, as imports will be cheaper than their products, decreasing their producer surplus.

The following diagrams show imports and exports of goods.



3 b) continued

Trading blocs face problems when a country has different foreign policy than an other country in the trading bloc. In the European Union right now, Hungary is wishing to import Oil and Gas from Russia, something that the European Union does not wish to do due to the current Russian Invasion of Ukraine. While many EU countries are not politically affiliated with Russia, Hungary is, and thus must now choose between being close to Russia or the EU. If the EU allows for (the) countries to be independent and choose oil and gas imports for themselves, Hungary could potentially import cheap Russian (Russian) fossil fuel and sell it within the EU to the countries with trade barriers against Russia but not against Hungary, thus circumnavigating the trade barriers. This, (while profitable for Hungary due to the low trade barriers in the bloc, would mean that all other countries would have useless foreign policy, which is why some trading blocs unite in foreign policy. As mentioned previously, this removes some of the independence of a country, possibly making it face trade-offs economically and politically. For instance, if the North American countries enter a trading block, and they decide to share high trade barriers against Cuba, Mexican (Mexican) imports of Cigars would suffer more than the distant Canada, creating differences between the consumer surplus of the two countries, and decreasing the independence of Mexico to implement effective foreign policy.

This 4-page answer booklet is empty.